



CHAPTER ccxxxvii.

An Act to provide for the settlement of questions which have arisen between the preference shareholders and the ordinary shareholders in the Barrow Hæmatite Steel Company Limited and for other purposes.

A.D. 1902.

[8th August 1902.]

WHEREAS the Barrow Hæmatite Steel Company Limited (hereinafter called "the Company") was incorporated in the year one thousand eight hundred and sixty-four as a Company limited by shares under the Companies Act 1862 with a capital of one hundred and fifty thousand pounds divided into one thousand five hundred shares of one hundred pounds each :

And whereas by a special resolution of the Company passed in the year one thousand eight hundred and sixty-five the capital of the Company was increased to one million pounds divided into ten thousand ordinary shares of one hundred pounds each :

And whereas prior to the year one thousand eight hundred and sixty-seven the whole of the said ten thousand ordinary shares had been created and issued and fifty pounds per share had been paid or credited as paid thereon :

And whereas in pursuance of resolutions of the Company passed in and between the years one thousand eight hundred and sixty-seven and one thousand eight hundred and seventy-four bonuses to the aggregate amount of fifty pounds per share were declared out of sums standing to the credit of profit and loss account of the Company and were added to the sums paid or credited as paid on the said ten thousand ordinary shares thus making each of such shares fully paid :

And whereas by a special resolution of the Company passed in the year one thousand eight hundred and seventy-three the capital of the Company was increased to one million five hundred thousand

A.D. 1902. pounds by the creation of five thousand new ordinary shares of one hundred pounds each and the whole of such new ordinary shares had prior to the year one thousand eight hundred and eighty-two been issued and paid up in full in cash :

And whereas by a special resolution of the Company passed in the year one thousand eight hundred and eighty-two the above-mentioned ten thousand ordinary shares and five thousand ordinary shares (which are hereinafter collectively referred to as "ordinary shares") were divided into one hundred and fifty thousand shares of ten pounds each all fully paid :

And whereas in pursuance of special resolutions of the Company passed in the year one thousand eight hundred and seventy-two three hundred and seventy-seven preference shares of one hundred pounds each known as the eight per centum preference shares of the Company were created and issued credited as fully paid as the consideration for the purchase by the Company from the Barrow Rolling Mills Company Limited of two furnaces and other property and such shares have such preferential rights as regards dividend as in the said special resolutions and the articles of association of the Company appearing but do not entitle the holders thereof to any vote at general meetings of the Company :

And whereas in pursuance of special resolutions passed in the year one thousand eight hundred and seventy-six fifty thousand preference shares of ten pounds each known as the six per centum preference shares of the Company were created and issued and fully paid up in cash and those shares have subject to the said preferential rights of the said eight per centum preference shares such preferential rights as regards dividend as in the said special resolutions and the articles of association of the Company appearing but do not entitle the holders thereof to any vote at general meetings of the Company :

And whereas in the year one thousand eight hundred and eighty-eight a special resolution was passed by the Company for reducing the capital of the Company by cancelling capital lost or unrepresented by available assets to the extent of—

Two pounds ten shillings per share on each of the ordinary shares ;

Twenty-five pounds per share on each of the three hundred and seventy-seven eight per centum preference shares ;

Two pounds ten shillings per share on each of the fifty thousand six per centum preference shares ;

A.D. 1902

and by reducing the nominal amount of—

Each of the ordinary shares from ten pounds to seven pounds ten shillings ;

Each of the eight per centum preference shares from one hundred pounds to seventy-five pounds ;

Each of the six per centum preference shares from ten pounds to seven pounds ten shillings :

And whereas the said reduction was confirmed by an order of the Chancery Division of the High Court in the same year and the capital of the Company now is one million five hundred and twenty-eight thousand two hundred and seventy-five pounds divided into—

One hundred and fifty thousand ordinary shares of seven pounds ten shillings each fully paid ;

Three hundred and seventy-seven eight per centum preference shares of seventy-five pounds each fully paid ; and

Fifty thousand six per centum preference shares of seven pounds ten shillings each fully paid :

And whereas in the year one thousand eight hundred and ninety-nine a re-valuation of the Company's lands buildings works fixed plant and mines was made and the directors of the Company were advised that owing in the main to the exhaustion and working out of the Company's iron ore mines but in part also to other causes losses of capital in part realised and in part estimated to the extent of seven hundred and sixty-four thousand one hundred and thirty-seven pounds ten shillings had taken place :

And whereas in the year one thousand eight hundred and ninety-nine a special resolution was passed by the Company for reducing the capital of the Company by seven hundred and sixty-four thousand one hundred and thirty-seven pounds ten shillings by cancelling capital lost or unrepresented by available assets to the extent of three pounds fifteen shillings per share upon each of the one hundred and fifty thousand ordinary shares thirty-seven pounds ten shillings per share upon each of the three hundred and seventy-seven eight per centum preference shares and three pounds fifteen shillings per share upon each of the fifty thousand six per centum preference shares and by reducing the nominal amount of all the said ordinary shares from seven pounds ten shillings to three pounds fifteen shillings each and of all the said eight per centum preference shares from seventy-five pounds to thirty-seven pounds ten shillings each and of all the said six per centum preference shares from seven pounds ten shillings to three pounds fifteen shillings each :

A.D. 1902.

And whereas in the year one thousand nine hundred the Company presented a petition to the Chancery Division of the High Court of Justice seeking the confirmation by the court of the last-mentioned reduction :

And whereas the petition was opposed by a large body of both classes of preference shareholders and the court in the month of August one thousand nine hundred refused to confirm the said reduction and dismissed the said petition and the judgment of the court was affirmed by the Court of Appeal in the month of November one thousand nine hundred and one :

And whereas the said sum of seven hundred and sixty-four thousand one hundred and thirty-seven pounds ten shillings was in the year one thousand nine hundred deducted in the books of the Company from the book values of the assets and carried to the debit of an account then opened under the title depreciation suspense account :

And whereas at the thirty-first day of December one thousand nine hundred there stood provisionally to the credit of the profit and loss account of the Company a balance of two hundred and forty-six thousand four hundred and thirty-nine pounds eighteen shillings and sixpence without taking into account or making any provision for the said losses :

And whereas in the month of May one thousand nine hundred and one Edward Bond and others on behalf of themselves and all other holders of the eight per centum and six per centum preference shares in the Company brought an action against the Company in the Chancery Division of the High Court of Justice claiming to be paid dividends on their respective shares out of the amount standing to the credit of the Company's profit and loss account at the thirty-first day of December one thousand nine hundred as aforesaid and in the month of January one thousand nine hundred and two the said action was dismissed with costs and having regard to the judgment in the said action the directors were advised that no part of the said amount so standing to the credit of the profit and loss account of the Company can be applied in payment of dividends :

And whereas by the thirty-first day of December one thousand nine hundred and one the amount standing provisionally at the credit of the profit and loss account of the Company as aforesaid had been increased to the sum of three hundred thousand nine hundred and twenty-one pounds nineteen shillings and threepence :

And whereas negotiations have taken place between a committee representing the said eight per centum and six per centum pre-

ference shareholders by whom the said litigation has been conducted and the directors of the Company which have resulted in an agreement on a scheme for dealing with the said loss of capital to the extent of the said sum of seven hundred and sixty-four thousand one hundred and thirty-seven pounds ten shillings partly by a reduction of the nominal amount of the share capital of the Company and partly by the application of a portion of the sum standing to the credit of the Company's profit and loss account at the thirty-first day of December one thousand nine hundred and one towards writing off such loss and for such alterations of the rights of the different classes of shareholders of the Company as hereinafter appearing: A.D. 1902.

And whereas it is expedient to sanction and give effect to the terms and conditions of the said scheme as contained in this Act:

And whereas the eight per centum preference shareholders and the six per centum preference shareholders of the Company have by resolutions passed at separate meetings of each class of such shareholders convened by circular letter addressed to them and held on the sixth day of May one thousand nine hundred and two unanimously approved and assented to the provisions of the Bill for this Act subject to such additions alterations and variations as Parliament might think fit and the resolutions have been unanimously confirmed at subsequent separate meetings of each class of such shareholders similarly convened and held on the twenty-third day of May one thousand nine hundred and two:

And whereas the ordinary shareholders of the Company have by a special resolution as defined by the Companies Act 1862 also approved and assented to the provisions of the Bill for this Act subject to such additions alterations and variations as Parliament might think fit:

And whereas the objects of this Act cannot be effected without the authority of Parliament:

May it therefore please Your Majesty that it may be enacted and be it enacted by the King's most Excellent Majesty by and with the advice and consent of the Lords Spiritual and Temporal and Commons in this present Parliament assembled and by the authority of the same as follows (that is to say):—

1. This Act may be cited as the Barrow Hæmatite Steel Company Limited Act 1902. Short title

2. From and after the passing of this Act the total nominal share capital of the Company shall be reduced from one million five hundred and twenty-eight thousand two hundred and seventy-five Reduction of capital.

A.D. 1902. pounds to nine hundred and sixteen thousand nine hundred and sixty-five pounds and for that purpose the following provisions shall take effect (namely): -

The nominal value of the existing three hundred and seventy-seven eight per centum preference shares of the Company which are hereinafter referred to as "first preference shares" shall be reduced to the nominal amount of forty-five pounds each fully paid :

The nominal value of the existing fifty thousand six per centum preference shares of the Company which are hereinafter referred to as "second preference shares" shall be reduced to the nominal amount of four pounds ten shillings each fully paid :

The nominal value of the existing one hundred and fifty thousand ordinary shares of the Company shall be reduced to the nominal amount of four pounds ten shillings each fully paid :

And the whole of such ordinary and preference shares so reduced shall for all purposes be deemed to have been fully paid up in cash.

Provision for
extinguish-
ing lost
capital.

3. In order to provide for and extinguish the said loss of capital to the extent of seven hundred and sixty-four thousand one hundred and thirty-seven pounds ten shillings the following provisions shall take effect (viz.):—

The sum of seven hundred and sixty-four thousand one hundred and thirty-seven pounds ten shillings now standing at debit of the said depreciation suspense account in the books of the Company shall in the first instance be reduced to the sum of one hundred and fifty-two thousand eight hundred and twenty-seven pounds ten shillings by deducting from the said sum of seven hundred and sixty-four thousand one hundred and thirty-seven pounds ten shillings the amount of six hundred and eleven thousand three hundred and ten pounds by which the nominal value of the share capital is reduced by this Act and the balance of one hundred and fifty-two thousand eight hundred and twenty-seven pounds ten shillings remaining of the said sum of seven hundred and sixty-four thousand one hundred and thirty-seven pounds ten shillings after deducting therefrom the said sum of six hundred and eleven thousand three hundred and ten pounds shall be provided for and extinguished by capitalising and transferring to the credit of the said depreciation suspense account the sum of one hundred and fifty-two thousand eight hundred and twenty-seven pounds

ten shillings part of the sum of three hundred thousand nine hundred and twenty-one pounds nineteen shillings and three-pence provisionally standing at the credit of the profit and loss account in the books of the Company at the thirty-first day of December one thousand nine hundred and one as aforesaid. A.D. 1902.

4. The balance remaining of the said sum of three hundred thousand nine hundred and twenty-one pounds nineteen shillings and threepence provisionally standing at the credit of the profit and loss account of the Company at the thirty-first day of December one thousand nine hundred and one after deducting from such sum the said sum of one hundred and fifty-two thousand eight hundred and twenty-seven pounds ten shillings to be capitalised and transferred to the credit of the depreciation suspense account as provided by this Act shall be applied by the directors of the Company under the authority of this Act firstly in payment of the arrears of dividend upon the first preference shares up to the thirty-first day of December one thousand nine hundred and one which arrears amount to the sum of six thousand seven hundred and eighty-six pounds secondly in payment of the arrears of dividend upon the second preference shares up to the thirty-first day of December one thousand nine hundred and one which arrears amount to the sum of one hundred and twelve thousand five hundred pounds and of the balance of the said sum of three hundred thousand nine hundred and twenty-one pounds nineteen shillings and threepence remaining after the application of the said sums of one hundred and fifty-two thousand eight hundred and twenty-seven pounds ten shillings six thousand seven hundred and eighty-six pounds and one hundred and twelve thousand five hundred pounds in manner aforesaid the sum of twenty-seven thousand pounds shall be applied by the directors of the Company under the like authority in the payment of a dividend upon the ordinary shares of the Company and the ultimate balance remaining after the application of the said sums of one hundred and fifty-two thousand eight hundred and twenty-seven pounds ten shillings six thousand seven hundred and eighty-six pounds one hundred and twelve thousand five hundred pounds and twenty-seven thousand pounds shall be carried forward to the credit of the profit and loss account of the Company. Articles 113 114 115 and 122 of the articles of association of the Company shall not apply to the dividends to be paid by the directors as provided by this section. Appropriation of balance of profits.

A.D. 1902.

Future dividends on preference and ordinary shares.

5. As from and after the first day of January one thousand nine hundred and two the profits of the Company including the said ultimate balance referred to in the last preceding section in so far as such profits may in the opinion of the directors be distributed as dividend and subject to the regulations of the Company as to setting aside a reserve fund or funds and the recommendation declaration and sanction of dividends by the directors and a general meeting shall be applied—

- (A) First in payment to the holders of the first preference shares of a cumulative preferential dividend at the rate of thirteen pounds six shillings and eightpence per centum per annum on the nominal amount of their shares as reduced by this Act being the equivalent of eight per centum on the unreduced nominal amount of such shares:
- (B) Secondly in payment to the holders of the second preference shares of a cumulative preferential dividend at the rate of six pounds thirteen shillings and fourpence per centum per annum on the nominal amount of their shares as reduced by this Act:
- (C) Any balance of profit from time to time or at any time distributed as dividend shall be divided between the holders of the second preference shares and the ordinary shares so that one seventh of such entire balance so distributed shall be divided among the holders of second preference shares and six sevenths among the holders of ordinary shares and as between the holders of each such class of shares respectively inter se in proportion to the number of shares held by them respectively.

For the purposes of this section the reduction of the capital of the Company effected by this Act shall be deemed to have taken effect as from the first day of January one thousand nine hundred and two.

Votes of shareholders.

6. After the passing of this Act every holder of a first preference share or shares shall at every general meeting have ten votes for every such share which has been registered in his name for a period of not less than one month previous to such meeting and every holder of a second preference share or shares shall at every general meeting have one vote for every such share which has been registered in his name for a period of not less than one month previous to such meeting and every holder of an ordinary share or shares shall at every general meeting have one vote for every such share which has been registered in his name for a period of not less than one month previous to such meeting.

A.D. 1902.

7. Sections 5 and 6 of this Act shall be deemed to form part of the articles and regulations of the Company and all articles and regulations of the Company in force at the passing of this Act inconsistent with any of the provisions of this Act are hereby cancelled.

Amendment
of articles of
Company.

8. Every member of the Company shall forthwith deliver up to the Company the certificate or certificates of title relating to his shares in order that the Company may issue fresh certificates for the shares of reduced amount.

New share
certificates.

9. All costs charges and expenses incurred by the committee of preference shareholders and the several members thereof as such of or incident to the proposed reduction of the capital of the Company and the proceedings in the High Court and in the Court of Appeal in relation thereto and in and about the action of Bond and others plaintiffs and the Company defendants which was dismissed with costs in the month of January one thousand nine hundred and two and in or about all meetings of and communications with shareholders or the Company or in and about the negotiations of the committee with the directors of the Company relative to the matters aforesaid and the promotion and passing of this Act shall be paid by the Company to the committee or their secretary the amount thereof to be settled between the directors of the Company and the committee and if any question shall arise with respect to such costs charges and expenses or any of them the same shall be settled by an arbitrator to be nominated by the President of the Incorporated Law Society in accordance with the provisions of the Arbitration Act 1889.

Costs of
committee of
preference
shareholders.

10. Nothing in this Act shall prejudice or affect any future exercise of the powers of the Company under any Act for the time being in force or under their memorandum and articles of association with respect to any future increase or reduction of capital or otherwise in relation to the capital of the Company.

Saving as to
future altera-
tion of capi-
tal.

11. The Company shall forward to the Registrar of Joint Stock Companies a copy of this Act and it shall be registered by him and if such copy be not forwarded within three months after the passing of this Act the Company shall incur a penalty not exceeding two pounds for every day after the expiration of those three months during which the copy is omitted to be forwarded and every director or manager of the Company who knowingly and wilfully authorises or permits such default shall incur a like penalty and every penalty under this Act shall be recoverable summarily.

Copy of Act
to be regis-
tered.

[Ch. ccxxxvii.] *Barrow Haematite Steel Company* [2 EDW. 7.
Limited Act, 1902.

A.D. 1902.

Copy of Act
to be annexed
to copies of
memorandum
and articles.

12. To every copy of the memorandum and articles of association of the Company supplied after the passing of this Act to any member under the provisions of section 19 of the Companies Act 1862 there shall be annexed a copy of this Act.

Costs of Act.

13. All costs charges and expenses of or incidental to the preparing for obtaining and passing of this Act or otherwise in relation thereto shall be paid by the Company.

Printed by EYRE and SPOTTISWOODE,

FOR

T. DIOBY FIGOTT, Esq., C.B., the King's Printer of Acts of Parliament.

And to be purchased, either directly or through any Bookseller, from
EYRE AND SPOTTISWOODE, EAST HARDING STREET, FLEET STREET, E.C.; or
OLIVER AND BOYD, EDINBURGH; or
E. PONSONBY, 116, GRAFTON STREET, DUBLIN.